TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

Fair Work Ombudsman (via HRD Australia) · ABC News
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Wage watchdog recovers record $453m for underpaid workers

> The Fair Work Ombudsman recovered a record amount of unpaid wages last financial year, as tip-offs from workers also hit a record. Separately, Star Entertainment was hit with a large anti-money-laundering penalty.

WHAT HAPPENED

- The FWO recovered about **$453 million** for more than **181,000 workers** in 2025–26, up **27%** (about $95m) on the year before.
- It received a record **31,596 anonymous reports**, and its **proactive investigations nearly doubled** to more than 2,860.
- **Large corporates** made up nearly half of recoveries, including a Westpac underpayment of more than **$50m** affecting about 47,000 staff.
- Separately, the Federal Court ordered **Star Entertainment** to pay a **$260m** anti-money-laundering penalty over 19 months.

Fair Work Ombudsman: the regulator that enforces workplace laws and awards. **Award wage:** the legal minimum pay and conditions for an industry or occupation.

KEY NUMBERS

$453m
back-paid in 2025–26

181,000+
workers helped

31,596
anonymous reports (record)

~$2.5bn
recovered over six years

BAR CHART — Recoveries are rising



Wages and entitlements recovered by the FWO. Prior year derived from the reported $95m increase.

Underpayment means workers receive **less than the legal wage floor** set by awards. That shifts income from workers to employers and makes **income distribution** less equal.

Stronger enforcement (more proactive audits, more tip-offs) makes legal minimums effective and helps compliant firms compete on a level playing field.

Exam angle: labour market policy is not just about setting wages. **Enforcement** determines whether minimum standards actually work.

FLOW CHART — How enforcement works

Workers report underpayment → FWO investigates → Back-pay and penalties → **Fairer distribution of income**

WINNERS AND LOSERS — Who gains from tougher enforcement?

Gain

- **Underpaid workers** receive back-pay and higher ongoing pay.
- **Compliant employers** no longer undercut by rivals cutting wage costs illegally.
- **Government**: more income tax and super contributions collected.

Lose

- **Non-compliant employers** face back-pay, penalties and reputational damage.
- **Some small businesses** face higher compliance costs for complex awards.
- Possible **fewer hours** where firms relied on underpaying to stay viable.

SYLLABUS LINK

Topic 4 – labour market policy; industrial relations and the role of regulators.
Topic 3 – distribution of income.

TRY THIS

Explain the role of the Fair Work Ombudsman in Australia's industrial relations system. **(3 marks)**

Discuss how widespread underpayment of wages affects the distribution of income and labour market outcomes. **(6 marks)**

Sources: HRD Australia: hcamag.com/au/specialisation/employment-law/fwo-recovered-453-million-in-unpaid-wages-and-entitlements-in-fy26/589729 · ABC Markets blog, 29 Oct: abc.net.au/news/2026-10-29/asx-markets-business-live-news-29-october-2026/107321622